



Qualification Programme Examination Panelists' Report

Module 11 – Financial Reporting (June 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This case question related to a group of companies engaging in property leasing businesses. In addition to assessing candidates' knowledge on group accounting issues which are commonly tested in Section A, this case study also challenged candidates to apply logical thinking and analytical skills to practical accounting scenarios.

Specific areas tested included allocating impairment losses in a cash-generating unit ("CGU") (in Question 1), accounting for government grants (in Question 2), distinguishing between a business combination and an asset acquisition (in Question 3) and identification of ethical issues in relation to Environmental, Social and Governance ("ESG") disclosures (in Question 4). Candidates were expected to provide logical explanations for these accounting treatments, grounded in the relevant financial reporting standards and the fact patterns provided in the case scenario.

The overall performance in Section A was varied. While some candidates were able to deliver very strong answers to the questions, some did not even attempt to respond. This suggested a wide disparity in candidates' abilities to apply their technical knowledge to realistic, complex accounting situations.

Specific Comments

Question 1(a) – 3 marks

This question required candidates to explain how a property should be measured in a business combination, with reference to HKFRS 3 *Business Combinations* and HKFRS 13 *Fair Value Measurement*.

Overall performance on this question was poor, demonstrating candidates' limited awareness of the "highest and best use" principles in HKFRS 13. Most of the candidates incorrectly concluded that the fair value of the property in question should be based on the entity's current intended use. Some candidates spent time explaining why the property in question should be classified as property, plant and equipment under HKAS 16 *Property, Plant and Equipment*, which was irrelevant. Candidates are encouraged to read the questions more carefully, as this question explicitly required candidates to explain the measurement principles in a business combination, rather than how the property should be classified in the acquiree's individual financial statements.



Question 1(b) – 17 marks

This question assessed candidates' knowledge on calculating goodwill in a business combination under the two options allowed in HKFRS 3 *Business Combinations*, followed by a computation on the impairment loss, together with an allocation of such loss, with reference to HKAS 36 *Impairment of Assets*, to various assets.

The performance on this question was mixed, with some candidates providing excellent answers, while others demonstrated significant gaps in their understanding of the relevant accounting standards. Despite the case background explicitly stating that the carrying amount of the CGU in question excluded goodwill, some candidates did not include the goodwill in the CGU's carrying when comparing it against the recoverable amount of the subsidiary, which was a fundamental error. While candidates who did so demonstrated some awareness of the sequence in allocating the impairment loss under HKAS 36, many still showed limited understanding of the need to "notionally gross-up" the carrying amount of goodwill under the "partial" goodwill approach before comparing it to the recoverable amount. Another common mistake was that a number of candidates were not aware that under the "partial" goodwill approach, the impairment loss of goodwill should be recognised only to the extent of the parent's ownership interest in the subsidiary.

The performance on this question also revealed some issues with the candidates' examination techniques. Some candidates spent a significant amount of time on narrative descriptions of the impairment testing process for a CGU, including explanations of what a CGU is and the timing of impairment tests. As a piece of advice, candidates should pay close attention to the taxonomy of the question. In general, if the question requires only a calculation, as was the case here, candidates are expected to provide the supporting workings with brief explanations when deemed necessary, rather than lengthy descriptive responses. Keeping explanations brief on this type of question can help candidates optimise their time while demonstrating their understanding of the knowledge in an examination setting.

Question 2 – 13 marks

Parts (a) and (b) of this question assessed candidates' fundamental knowledge in relation to government grants, with reference to HKAS 20 *Accounting for Government Grants and Disclosure of Government Assistance*. Although the scenarios in the question were straightforward, candidates' overall performance was slightly below average.

Part (a) related to a government loan at a below-market rate of interest. While quite a number of candidates were able to relate the benefit of such loan to a government grant and attempt to calculate the grant amount, they failed to provide a coherent argument for how to account for such a grant based on the facts provided in the case—specifically, when it would affect the statement of profit or loss through the recognition of grant income. Further, a common issue was that quite a few candidates omitted recognising the interest expense arising from the government loan.

Part (b) assessed candidates' understanding of the possible methods for presenting a grant related to assets in HKAS 20 in the financial statements. One common weakness observed was that some candidates mixed up the concepts of "grants related to assets" and "grants related to income", resulting in irrelevant discussions that did not address the specific requirements of the question. Another common issue was that candidates demonstrated a lack of clarity in their understanding of the relevant terminology used in HKAS 20. It was commonly observed that candidates confused the concepts of "deferred income" (which should be presented as a liability) and "grant income" (which should be recognised in profit or loss).

Part (c) of the question was relatively challenging, and required candidates to suggest an appropriate accounting treatment of a "free asset" received by the entity. While many candidates simply applied HKAS 20 to account for this transaction, a few candidates were able to identify that this transaction was not within the scope of HKAS 20, as the donor in this case was not a government. This part of the question highlighted the need for candidates to have a deeper understanding of the hierarchy in HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*, which provides guidance on how to address situations where there is no specific accounting standard applicable.

Question 3 – 13 marks

This question assessed candidates' knowledge and ability to apply the principles of HKFRS 3 in distinguishing between a business combination and an asset acquisition. Overall performance on this question was below expectation, despite HKFRS 3 being a commonly assessed area in Module 11 examination. Quite a few candidates did not even attempt this question.

The question explicitly required candidates to evaluate whether the acquisition of various properties qualified as a business under HKFRS 3, and candidates were expected to start the discussions with the definition of "business". Candidates demonstrated limited awareness of the definition, which is fundamental in HKFRS 3. Further, some candidates skipped the discussion of whether the acquisition qualified as a business and concluded that the properties in question were to be classified as investment properties.

Even among those candidates who were able to reach the correct conclusion (that the transaction was an asset acquisition), the reasoning provided was often at a very high level, lacking the necessary depth and application of the specific facts provided in the case. Candidates, in general, struggled to use the specific fact(s) in the case background to support the requirements in the relevant accounting standards. Some candidates simply copied all the case facts without clearly linking them to the criteria and requirements under HKFRS 3. This approach of merely copying out the case details without a proper critical analysis is not an effective way to demonstrate the level of understanding expected in the Module 11 examination.

Another common technical mistake was that these candidates incorrectly recognised the acquired assets at fair value, rather than at cost as required for an asset acquisition under HKAS 40 *Investment Property*. As a result, these candidates justified that the discount to the fair value would be recognised in profit or loss, which was a fundamental error. In addition, candidates demonstrated limited awareness of the need to capitalise the direct attributable costs incurred in acquiring assets, as opposed to the acquisition-related costs that are to be expensed in a business combination.

Question 3 also assessed candidates' core enabling competencies, which are a key feature in the Qualification Programme. Specifically, it assessed candidates' communication skills in drafting a report. In general, candidates' performance was average. Some top-performing candidates structured their response in the proper report format (rather than memorandum format.) These top-performing candidates included an introductory paragraph that clearly explained the scope and purpose of the report, together with the use of clear and logical headings delineating the various sections of the report. As a result, these candidates were able to effectively communicate their analysis and conclusions in a manner that showcased their excellent communication skills. This is an essential competency not only for succeeding in the Capstone examination of the Qualification Programme, but also for thriving in the workplace as qualified accountants.

Question 4 – 5 marks

This question required candidates to identify, with brief explanations, the fundamental principles within the *Code of Ethics for Professional Accountants* and the reporting principles within the ESG Reporting Guide (which has been renamed as ESG Reporting Code) that would have been violated in the case scenario.

Overall, performance on this question was average. Candidates generally displayed a higher level of awareness of the *Code of Ethics for Professional Accountants*, which has been a recurring focus in previous examination sessions.

Candidates' performance suggested that while candidates are able to name the relevant ethical principles involved, such as integrity and objectivity, they do not always exhibit a thorough understanding of the underlying meaning and application of these principles. Candidates are advised to develop a deeper comprehension of the fundamental ethical principles, rather than merely relying on superficial knowledge. Developing a deeper understanding of these principles and their application is crucial because ethical values are one of the core elements in the Qualification Programme journey.

As highlighted in the previous Examination Panelists' Reports, candidates in Module 11 are expected to be equipped with the knowledge on how sustainability-related and non-financial issues are disclosed in corporate reporting. Specifically, candidates should be aware of the disclosure requirements under the ESG Reporting Code within the listing rules of The Stock Exchange of Hong Kong Limited, the International Integrated Reporting (<IR>) Framework, and the global sustainability disclosure standards issued by the International Sustainability Standards Board (which have now been substantially incorporated in the ESG Reporting Code).



(II) Section B – Case Questions

General Comments

The questions in this section aimed to test candidates on their conceptual understanding as well as their ability to apply their knowledge to specific situations that are commonly seen or emerging in practice.

In general, candidates were able to understand the requirements of the questions and identify the applicable standards that could be relevant. However, many candidates struggled when it came to applying specific details in the standards, with some candidates appearing not to be aware of those requirements even when the exam was open book. This led to superficial or even incorrect answers and conclusions.

Candidates who scored high marks were able to present their answers logically and succinctly in response to what was required, with their answers being supported precisely with the relevant financial reporting standards requirements.

In order to facilitate markers in awarding marks, candidates are strongly recommended to write legibly, especially for essay type questions. Structured presentation of answers not only increases ease of understanding but it also helps candidates to arrive at the appropriate conclusions.

In general, performance in this section was less than satisfactory.

Specific Comments

Question 5 – 18 marks

This question required candidates to evaluate whether in the case concerned the entity needs to 1) recognise provision for onerous contracts when allocated costs are taken into consideration; 2) recognise impairment when the entity is expected to be profit-making; and 3) recognise expected credit loss over a receivable from a customer of high credit ratings.

Candidates that managed to score high marks were able to succinctly identify the issue and apply the relevant definitions and concepts from the standard to arrive at logical conclusions.

Some quoted definitions partially left out important key words. Candidates are reminded to refer to the relevant standards for official definitions.

In respect of onerous contracts, a majority of candidates managed to identify the relevant topic. However, it appears many candidates possessed incomplete knowledge of the requirements of the standard, leaving out, for example, allocated costs in the determination of costs that relate directly to the contract; comparison of benefits to be received against the cost of fulfilling the contract to arrive at the net cost; comparing the net cost of fulfilling the contract against the net cost of exiting the contract before concluding on the amount of provision to be made.

As for impairment, while many candidates managed to comment on the application of the requirements of HKAS 36 *Impairment of Assets* to the relevant assets individually, only a few candidates were aware that the assets concerned could have belonged to a cash generating unit to make further comments. Generally, performance on this part was fair.

The performance on the question about expected credit loss ("ECL") could have been stronger. The question is not new and would have been applicable even in daily real-life situations. Performance on this question varied. Many candidates focused on recoverability. However, ECL is actually a probability measure. Some candidates digressed to talk about general approach/ simplified approach, which is not relevant to the question. When it comes to ECL on trade receivables, candidates are reminded that the applicable standard is HKFRS 9 *Financial Instruments*, not HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

The performance on this question was less than satisfactory.

Question 6(a) – 15 marks

This question required candidates to analyse whether joint control exists and whether the investee is a joint venture/ joint operation, and conclude on the corresponding accounting treatment in the consolidated financial statements of the investor.

Many candidates managed to identify the relevant standards that could be applicable and apply the case facts to arrive at reasonable conclusions.

However, some candidates jumped to (wrong) conclusions too quickly. Many candidates were not able to pinpoint that control was shared between AL and BL (but not CL). Quite a few candidates ended up classifying DL as an associate. A number of candidates evidently are unable to clearly distinguish between joint control, joint arrangement, joint venture and joint operations when building up the arguments. This led to unstructured or even wrong answers and conclusions.

Overall, performance on this question was fair.

Question 6(b) – 4 marks

This question required candidates to evaluate whether parties sharing joint control and major supplier of DL would be consider related parties of AL. Many candidates were able to identify the relevant standard to be HKAS 24 *Related Party Disclosures* but were not familiar with paragraphs 11(a) and 11(b) and how they apply to the case.

Performance on this question was less than satisfactory.



Question 7(a) – 8 marks

This question required candidates to evaluate whether the major subsidiaries to be disposed should be classified as held-for-sale even though the sales contract was signed after year end and there are open contracts still in progress at year end.

Most candidates understood the question was on HKFRS 5 *Non-Current Assets Held for Sale and Discontinued Operations*, although some focused on discontinued operations when the question was about held-for-sale. Many candidates could relate case facts to the requirements to arrive at reasonable conclusions, although some jumped around in their analysis, making it difficult for them to arrive at a correct conclusion.

The performance on this question was fair.

Question 7(b) – 5 marks

This question required candidates to determine whether the long-term borrowing needs to be classified as current when the loan covenant was breached before the year end but a modification of the loan contract was signed after the year end.

Many candidates started by discussing treatment of substantial modification or whether the modification was substantial when that was merely a non-adjusting event and it was already given in the fact pattern that the modification was substantial. For those candidates who managed to realise it is non-adjusting, some were able to discuss the implications and how the loan should be classified.

The performance on this question was less than satisfactory.

(III) Conclusion and Recommendation

Section A

Module 11 examination is placing greater emphasis on candidates demonstrating logical reasoning, analytical skills, and an understanding of practical accounting issues. Beyond just recalling technical standards, candidates are required to exhibit the higher-order skills needed to navigate real-world accounting challenges. To improve performance in Section A of Module 11 examinations, candidates are advised to focus on developing a deeper, more holistic understanding of the accounting principles. This includes not only mastering technical financial reporting standards, but also cultivating the ability to analyse fact patterns provided in the case scenario, identify the relevant issues in the case, and provide well-reasoned explanations grounded in the applicable accounting standards or frameworks. Candidates should always read the questions, including the taxonomy of the requirements, carefully, as they generally provide guidance on how the accounting problems are to be solved in an examination setting.



Section B

Overall, the performance of the candidates was less than satisfactory.

Module 11 focuses more on the application of financial reporting knowledge in realistic professional settings and requires candidates to exercise professional judgment in evaluating accounting issues within the examination scope to provide advice on the most appropriate treatment.

Candidates are not expected to be able to recite everything from the financial reporting standards but are at least expected to be able to recall which standard(s) and where to look when particular situations arise.

It is important for candidates to demonstrate their analytical skills and set out their arguments with factual and technical support in a logical yet succinct manner. Even without the 2 marks awarded specifically for demonstration of analytical skills, marks would have been awarded for points where the candidates managed to explain how they arrive at the conclusion.

However, candidates should apply discernment in extracting the relevant technical requirements to support their answers. In addition, candidates should refrain from blindly copying from the learning packs or past papers. As for model answers to past papers, there is also an element of technical education and they would include extra points that candidates could consider outside exam situations.